

Research Briefing | Eurozone

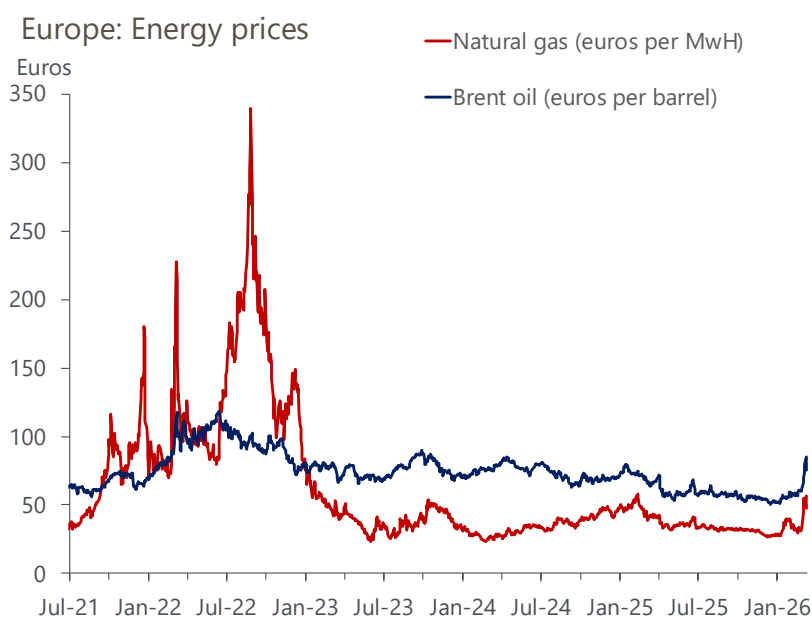
Fiscal support is coming but don't expect another 2022

- European governments are reacting far more swiftly to surging energy costs than in previous crises. But unless prices remain much higher for longer, the scale of this intervention will likely be very modest compared to the massive fiscal response of 2022 and will not lead to a revision to our forecasts.
- Measures are likely to be temporary and small in size, so they will only provide minimal relief for consumers and businesses. Southern European economies, which enjoy stronger fiscal positions than four years ago, are leading the fiscal response this time
- Portugal, Greece and Croatia have already announced various measures with an estimated cost in the range of hundreds of millions of euros. Larger economies like Spain and Germany also considering some fiscal relief. Meanwhile, the EU is contemplating different options, including subsidies or even capping gas prices, but we think this is more to signal readiness in case the situation gets much worse than a serious consideration at this point.
- A strong fiscal response is one of the potential triggers that would push the European Central Bank towards hiking rates, but this remains an upside risk at this point, not our baseline.

European governments are already reacting to the surge in energy costs. Portugal, Greece and Croatia have announced some tax cuts and caps on profit margins, while several other countries are contemplating different relief packages (**Table 1**). We expect further similar announcements over the coming days or weeks.

The speed of the response is in stark contrast to the energy crisis that started in mid-2021, when governments did not start deploying fiscal counter measures until several months after prices spiked. Another difference is that this time, measures are generally focused on short-term relief, rather than broad fiscal interventions.

Chart 1: Crude oil and natural gas prices have surged following attacks on Iran



Sources: Oxford Economics, Haver Analytics

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Table 1: Fiscal measures announced or under consideration

Country	Measure	Type	Effective Date	Duration / Notes
European Commission	Lower electricity taxes and levies; promote switching and efficiency; consideration of gas price caps	Tax and regulatory relief	Early Mar 2026	Coordinated EU actions; not member state legislation but guidance for member states
Greece	Cap on profit margins for fuel & supermarkets	Price control	Mar-26	Temporary (~3 months)
Portugal	Temporary reduction of diesel tax	Tax cut	Mar-26	Short-term tax relief
Croatia	Fuel price caps (maximum retail petrol/diesel prices)	Price ceiling	Mar-26	Initially ~2 weeks; possibly extended
Spain	General "anti-crisis fiscal package" including energy levies and transport aid	Fiscal package (proposed)	Under discussion	Not yet enacted
Germany	Proposal to cut fuel taxes temporarily	Proposed tax cut	Under discussion	Not yet enacted
Austria	Fuel tax relief proposals	Proposed tax cut	Under discussion	Not yet enacted
Ireland	Expanded fuel allowances for low-income households	Social support	Early 2026	Under review/expansion

Source: Oxford Economics

Despite a 50% increase in the price of Brent oil, and natural gas prices nearly doubling in a matter of days, the magnitude of the energy shock is still only a fraction of that suffered when Russia invaded Ukraine (**Chart 1**). With most observers expecting the conflict in Iran to be relatively brief, there is still a broad expectation that the energy shock will only be temporary this time.

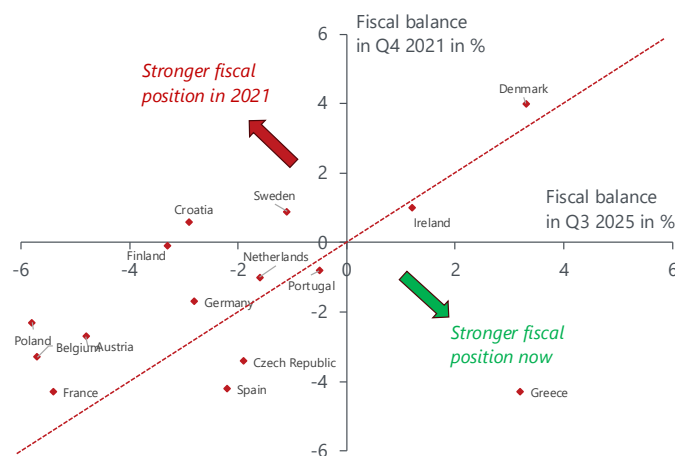
So far, the measures announced are temporary in nature and very modest in size, with a total cost estimated in the range of hundreds of millions of euros. For comparison, EU member states spent between €500bn-600bn on fiscal relief measures between 2021 and 2022. This time, governments are likely to focus mainly on reductions in fuel taxes or expanding existing social support programs for low-income households.

We expect this will continue unless the situation deteriorates significantly. But another difference compared to the previous crisis is that most Southern European countries enjoy stronger fiscal positions now (**Chart 2**). It's probably no coincidence that most of the countries that have already announced or are considering an imminent fiscal response are among this group. More fiscal space means that governments can afford to play a much more fiscal activist role this time: by deploying fiscal counter measures early on they hope they can do some damage control and send the right signal to voters, who had been pointing at high prices as their main concern for years, while seeing only a minimal hit to their countries' fiscal position.

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Chart 2: Southern European fiscal balances have improved compared to 2021

Fiscal balance: 2025 vs 2021



Sources: Oxford Economics, Haver Analytics

In parallel with national responses, the European Commission is also contemplating several options to tackle higher energy prices. Details are sparse, but one policy proposal being considered is capping natural gas prices. We think it's too premature to be considering this type of intervention given that the EU agreed to a similar measure in December 2022, setting a price ceiling of €180/MWh for the reference TTF natural gas benchmark, after prices rose to €150. With prices currently at around €50, we take it more as a signalling device to show readiness to act if things get worse, rather than a policy under serious consideration.

Fiscal policy matters for monetary policy

The fiscal policy response will also play an important role in determining what the ECB does. After raising interest rates sharply between 2022 and 2024 to combat high inflation, the central bank has managed to achieve a soft landing and has kept rates unchanged for almost a year as inflation gradually declined toward its medium-term target.

However, ECB officials have repeatedly emphasized the importance of fiscal policy remaining consistent with the broader macroeconomic objective of restoring price stability and so will be concerned about fiscal measures that could complicate the inflation outlook.

Large energy subsidies can reduce measured inflation in the short term by lowering consumer prices, but they might also stimulate demand and increase fiscal deficits, potentially creating inflationary pressures later. By adopting modest fiscal measures, Eurozone governments appear to be attempting to support households without undermining the ECB's disinflation strategy.

This remains our base case, but a scenario where energy price rise significantly higher or remain elevated for longer than we currently assume would likely pressure governments to step up their interventions. This would provide the ECB with additional justification to tighten policy.